IN NEED OF A BOOSTER DOSE

INDIA CANNOT TAKE ITS EYE OFF THE BALL IF IT HAS TO MAINTAIN A GROWTH RATE OF 7–8 PER CENT IN THE NEXT TWO DECADES TO BREAK INTO THE LEAGUE OF HIGH-GROWTH ECONOMIES

By **M.G. Arun**

IN **several of his speeches at election rallies prior to the general election, Prime Minister Narendra Modi underlined a key economic prospect**—that India would become the third largest economy in the world quite early in his third term. Modi, who had won the election twice before for the Bharatiya Janata Party (BJP) on the promise of a stronger economy and business-friendly policies, felt that glossy figures regarding India's economy still resonated with the masses. The election, however, proved that Indian voters were concerned about a host of pressing issues, not least of which were the dearth of jobs and high prices. The BJP subsequently won fewer Lok Sabha seats than it expected to, making it dependent on allies to form the government. But that hasn't stopped Modi from showcasing India's strides on the economic front, or even saying the country is on track to becoming a developed nation. "When India celebrates 100 years of Independence (in 2047), we will do so as a developed country," he told industry honchos in Delhi in a post-budget interaction on July 30. "Today, India is the fifth largest economy in the world. The day isn't far when India will become the third largest in the world."

To be sure, the Indian economy has performed well, and much better than most of its peers on the global stage. It made a quick recovery from the pandemic, and has grown at 8.2 per cent in FY24. Inflation, though near the upper end of the Reserve Bank of India's (RBI) tolerance band of 6 per cent, has not been as runaway as in some other emerging nations. Not only does India's economy look more insular and robust compared to its neighbours, its resilience and growth stand in stark contrast to even the developed world, especially the US and Japan, who have been gripped by concerns of an impending recession. The numbers speak for themselves. India's foreign exchange reserves, which serve as a financial cushion and help bolster the rupee, stood at an all-time high of $674.9 billion as of August 9. Multinational firms have opened scores of global capability centres in India, underlining its strength in services exports, which grew at a faster clip than exports of goods. Indian airlines carried 154 million passengers in FY24, 12 million more than in pre-Covid FY20, while passenger vehicle sales were a record 4.2 million.

AIMING FOR HIGHER GROWTH

But given the size of the economy and the magnitude of India's problems, even the 8 per cent growth may not be adequate. Economists say the growth numbers seem inflated as they come after a steep fall into the negative territory during the pandemic, and would be around 7 per cent this

Graphic by TANMOY CHAKRABORTY